

29-1b The Kinds of Money

When money takes the form of a commodity with intrinsic value, it is called **commodity money** (money that takes the form of a commodity with intrinsic value). The term *intrinsic value* means that the item would have value even if it were not used as money. One example of commodity money is gold. Gold has intrinsic value because it is used in industry and in the making of jewelry. Although today we no longer use gold as money, historically gold was a common form of money because it is relatively easy to carry, measure, and verify for impurities. When an economy uses gold as money (or uses paper money that is convertible into gold on demand), it is said to be operating under a *gold standard*.

Another example of commodity money is cigarettes. In prisoner-of-war camps during World War II, prisoners traded goods and services with one another using cigarettes as the store of value, unit of account, and medium of exchange. Similarly, as the Soviet Union was breaking up in the late 1980s, cigarettes started replacing the ruble as the preferred currency in Moscow. In both cases, even nonsmokers were happy to accept cigarettes in an exchange, knowing that they could use the cigarettes to buy other goods and services.

Money without intrinsic value is called **fiat money** (money without intrinsic value that is used as money by government decree). A *fiat* is an order or decree, and fiat money is established as money by government decree. For example, compare the paper dollars in your wallet (printed by the U.S. government) with the paper dollars from a game of Monopoly (printed by the Parker Brothers game company). Why can you use the first to pay your bill at a restaurant but not the second? The answer is that the U.S. government has decreed its dollars to be valid money. Each paper dollar in your wallet reads: "This note is legal tender for all debts, public and private."

Although the government is central to establishing and regulating a system of fiat money (by prosecuting counterfeiters, for example), other factors are also required for the success of such a monetary system. To a large extent, the acceptance of fiat money depends as much on expectations and social convention as on government decree. The Soviet government in the 1980s never abandoned the ruble as the official currency. Yet the people of Moscow preferred to accept cigarettes (or even American dollars) in exchange for goods and services because they were more confident that these alternative monies would be accepted by others in the future.

FYI

Cryptocurrencies: A Fad or the Future?

In recent years, the world has seen a proliferation of a new kind of money, called *cryptocurrencies*. These currencies use the tools of cryptography to create a medium of exchange that exists only in electronic form. They rely on a technology called *blockchain* to maintain a decentralized, public ledger that records transactions.

The first of these cryptocurrencies, introduced in 2009, was *bitcoin*. It was conceived by a computer expert called Satoshi Nakamoto. Nakamoto authored and circulated a white paper establishing the bitcoin protocol, but Nakamoto's identity is otherwise unknown. According to the protocol, people create bitcoins by using computers to solve complex mathematical problems. The number of bitcoins that can be "mined" in this way is supposedly limited to 21 million units. Once created, bitcoins can be used in exchange. They can be bought and sold for U.S. dollars on organized bitcoin exchanges, where supply and demand determine the dollar price of a bitcoin. People can hold bitcoins as a store of value, and they can use bitcoins to buy things from any vendor who is willing to accept them.

Bitcoins are neither commodity money nor fiat money. Unlike commodity money, they have no intrinsic value. You can't use bitcoins for anything other than exchange. Unlike fiat money, they are not created by government decree. Fans of bitcoin embrace this new form of money because it exists apart from government. Some bitcoin users are engaged in illicit transactions such as the drug trade and benefit from the anonymity that bitcoin transactions offer.

During bitcoin's brief history, its dollar value has fluctuated wildly. In 2010, the price of a bitcoin ranged between 5 cents to 39 cents. The price rose above \$1 in 2011 and above \$1,000 in 2013 before falling below \$500 in 2014. Over the following few years, the dollar value of a bitcoin skyrocketed, reaching more than \$19,000 in 2017. But by early 2019, it had fallen back to \$3,500. Meanwhile, a variety of other cryptocurrencies were introduced, such as Ethereum, Litecoin, Ripple, and Zcash, providing competition for bitcoin. These other cryptocurrencies differ from bitcoin in the details of their protocols, but like bitcoin, they have all exhibited large price swings.

The long-term success of cryptocurrencies depends on whether they succeed in performing the functions of money: a store of value, a unit of account, and a medium of exchange. Many economists are skeptical. The great volatility of the dollar prices of cryptocurrencies makes them a risky way to hold wealth and an inconvenient measure in which to post prices. Few retailers accept them in exchange, at least so far. As a result, cryptocurrencies are excluded from standard measures of the quantity of money.

Cryptocurrencies may be the money of the future, or they may be a passing fad.

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Printed By: Mike Benton (mbento6@wgu.edu)

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